



**Bureau of Experts at the Council of Ministers
Official Translation Department**

Unified Customs Law of GCC States

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Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.
3. Amendments to this Law are provided in the Appendix.

For any comments or inquiries, please contact the Official Translation Department at:

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Unified Customs Law of GCC States

Part 1: Definitions and General Provisions

Article 1

This Law shall be named "The Unified Customs Law of GCC States."

Article 2

The following terms and phrases, wherever mentioned in this Law, its explanatory note, and Implementing Regulations, shall have the meanings assigned thereto, unless the context requires otherwise:

1. **GCC:** The Cooperation Council for the Arab States of the Gulf.
2. **Minister:** The minister to whom the general directorate of customs reports.
3. **Competent Agency:** The agency to which the general directorate of customs is affiliated.
4. **General Director:** The general director of customs.
5. **Director:** The director of the customs zone.
6. **Directorate:** The general directorate of customs.
7. **Customs Zone:** The area designated by the minister in each port, whether sea, air, or land, or any other area where a customs office is located to complete all or part of the customs procedures.
8. **Law:** The rules and provisions regulating customs as well as any other rules or provisions supplementing, complementing, or amending this Law.
9. **Customs Territory:** The part of a land or sea subject to customs control and to procedures specified in this Law, which includes:
 - a) Maritime Customs Territory: it includes any area located between a coast and the end of the territorial sea; and
 - b) Land Customs Territory: it includes any land located between a coast or a land boundary and any internal line designated pursuant to a decision by the minister or the competent agency.
10. **Customs Line:** A line that corresponds to the state's political boundaries and coasts.
11. **Customs Tariff:** A schedule which includes the goods and their corresponding categories of customs duties including rules and notes relating to such goods.
12. **Customs Duties:** Amounts collected on goods under the provisions of this Law.
13. **Fees:** Amounts collected by customs for rendered services.
14. **Goods:** Any natural material or any animal, agricultural, industrial, or intellectual product.
15. **Type of Goods:** The nomenclature listed in the customs tariff schedule.
16. **Paid or Payable Price:** The total amount paid or payable to the seller, whether directly or indirectly, for goods imported by the buyer or for his benefit.
17. **Imported Goods Under Valuation:** Goods the prices of which are being determined for customs purposes.



18. **Identical Goods:** Goods which are identical in every respect, including material characteristics, quality, and brand recognition. Minor differences in appearance shall not exclude such goods from being deemed identical.
19. **Similar Goods:** Goods which are similar in their characteristics and material components enabling them to perform the same functions and to be commercially interchangeable. Quality of goods, brand recognition, and the existence of a trademark are among the factors considered in determining similarity of goods.
20. **Sales Commission:** The commission payable to the seller's agent who is affiliated with, is under the control of, works for the benefit of, or works on behalf of the manufacturer or seller.
21. **Packing Costs:** Costs of packages, wrappings of any type, and crates, excluding containers, as well as the costs of labor or other materials which are used for transporting goods to GCC states.
22. **Unit Price at the Greatest Total Quantity:** The unit price at which specific goods are sold to unrelated persons at the first commercial level after importation, in its state when imported, or after further preparation or manufacturing if the importer so requests.
23. **Related Persons:**
 - legal business partners;
 - employees or managers of one another's business;
 - an employer and his employees;
 - persons who directly or indirectly own, control, or hold 5% of the voting shares or stocks, or both;
 - persons who supervise or control other persons;
 - persons who are directly or indirectly supervised by a third party;
 - persons who directly or indirectly supervise a third party; or
 - persons who are members of the same family.
24. **Valuation Agreement:** An agreement to enforce Article 7 of the 1994 General Agreement on Tariffs and Trade (GATT).
25. **Country of Origin:** The country of manufacture, production, or growth of goods.
26. **Prohibited Goods:** Goods the import or export of which is prohibited under this Law or any other applicable law.
27. **Restricted Goods:** Goods the import or export of which is restricted under this Law or any other law.
28. **Source:** The country from which goods are imported.
29. **Importer:** A natural or legal person who imports goods.
30. **Exporter:** A natural or legal person who exports goods.
31. **Cargo Manifest:** A document which provides a full description of the goods carried on various means of transport.
32. **Free Zone:** A part of the state territory where commercial or industrial activities are carried out under the laws of that state. Any goods entering such zone shall be deemed to be outside the customs zone and shall not be subject to the usual customs procedures.
33. **Duty-Free Shop:** A retail outlet which sells goods exempted from customs duties.



34. **Customs declaration:** A declaration or statement submitted by the owner of goods or his representative providing in detail the identifying elements of declared goods and quantities thereof, in accordance with this Law.
35. **Storehouse:** A building or place intended for the provisional storage of goods pending withdrawal thereof pursuant to a customs status, whether such place is directly managed by the directorate, by government agencies, or by investing entities.
36. **Warehouse:** A building or place where goods exempted from customs duties are stored under the supervision of the directorate, in accordance with this Law.
37. **Carrier:** The owner of a means of transport or his authorized representative.
38. **Designated Roads:** Roads designated by the minister or the competent agency for the traffic of imported or exported goods, or goods in transit.
39. **Treasury:** Public treasury.
40. **Customs Clearance:** The processing of customs declarations of imported or exported goods or goods in transit in accordance with the customs procedures provided for in this Law.
41. **Customs Broker:** A natural or legal person licensed to exercise customs brokerage activities for the benefit of a third party.
42. **Customs Broker Representative:** A natural person licensed to follow up on customs procedures.

Article 3

The provisions of this Law shall apply to the lands and territorial waters under the sovereignty of the state. Free zones not subject to customs provisions may be established on such lands.

Article 4

Goods crossing the customs line, whether into or out of the state, shall be subject to the provisions of this Law.

Article 5

The directorate shall carry out its duties at the customs zone and customs territory and may also exercise its jurisdiction across the state's lands and territorial waters, subject to the conditions stipulated in this Law.

Article 6

Customs zones shall be established and closed pursuant to a decision by the minister or the competent agency.

Article 7

The jurisdiction and working hours of customs zones shall be determined pursuant to a decision by the minister or the competent agency.



Article 8

Subject to the provisions of articles relating to the inspection of goods, customs procedures shall be carried out only at the competent customs zone as provided for in Article 7 of this Law.

Part 2: Application of Customs Tariff

Article 9

Goods entering the state shall be subject to customs duties in accordance with the Unified Customs Tariff and prescribed fees, except those excluded under this Law, the GCC Unified Economic Agreement, or any other international agreement concluded within the GCC.

Article 10

Customs tariff rates shall be either a percentage of the value of the goods or a fixed amount levied on each unit of the goods, or both for a single type of goods.

Article 11

Customs duties shall be imposed, amended, or canceled by the applicable legal instrument of each member state, taking into consideration the respective decisions issued by the GCC states and the provisions of valid international agreements.

Article 12

Decisions amending customs duties shall indicate the date on which the amendments shall become effective.

Article 13

Imported goods shall be subject to applicable customs duties on the date the customs declaration is registered with the customs zones, unless otherwise stipulated in the decisions amending the customs tariff.

Article 14

Customs duties imposed on goods stored in warehouses due to the expiry of the warehousing period shall be subject to the tariff provisions in effect on the date of registering the customs declaration.

Article 15

Goods transported from duty-free zones and shops to local markets shall be subject to the customs tariff applicable on the date of transportation.

Article 16

Smuggled goods or any goods deemed as smuggled goods shall be subject to the customs tariff applicable on the date of smuggling, if such date can be identified, or the date of detection thereof, whichever is greater.



Article 17

Customs tariff applicable on the date of sale shall apply to goods sold by the customs zone in accordance with this Law.

Article 18

Damaged goods shall be subject to applicable customs tariff based on their value on the date of registering the customs declaration.

Part 3: Prohibitions and Restrictions

Article 19

A customs declaration shall be submitted for any goods transported from or to the state; such goods shall be inspected by the customs authorities at the nearest customs zone.

Article 20

Means of maritime transportation entering the state, irrespective of their load capacity, may not anchor in other than designated seaports, except in cases of a maritime emergency or a force majeure. In such cases, the shipmaster shall promptly notify the nearest customs zone or security post.

Article 21

Vessels with a load capacity of less than 200 tons shall not enter or move within the maritime customs territory while loaded with restricted or prohibited goods or goods that are subject to high customs duties, except in cases of a maritime emergency or a force majeure. In such cases, the shipmaster shall promptly notify the nearest customs zone or security post. Goods which are transported between state ports and the customs procedures of which have been completed shall be excluded from the application of the provision of this Article.

Article 22

Aircraft entering or exiting the state shall not land in or take off from airports where no customs zones are located, except in cases of force majeure; in such cases, the pilot shall promptly notify the nearest customs zone or security post, and obtain an attested report therefrom on the incident to be submitted to the intended customs zone, unless otherwise provided for in any other law or decision.

Article 23

Means of land transportation shall not enter or exit the state at points where no customs zones are located.

Article 24

The directorate shall, under the provisions of this Law or any other law, prohibit entry, exit, or transit of prohibited goods or goods found in violation. It shall also prohibit the entry, exit, or transit of restricted goods except with the approval of the relevant agencies of the state.



Part 4: Distinguishing Elements of Goods

Article 25

Imported goods shall be subject to proof of origin in accordance with applicable rules of origin adopted within the framework of international and regional economic organizations.

Article 26

The value of goods shall, for customs purposes, be calculated in accordance with the rules and principles set out in the Implementing Regulations.

Article 27

For value to be accepted as a distinguishing element of the goods, the following requirements must be met:

1. An original itemized invoice shall be provided with each customs declaration. The general director, or his designee, may allow clearance procedures to be completed without presenting the original invoices and required documents provided that an undertaking is made to submit the same within a maximum period of 90 days from the date of the undertaking.
2. The value of goods shall be established by submitting all original invoices and documents indicating such value in accordance with the rules set out in Article 26.
3. The customs zone may, in addition to invoices, require submission of all goods-related documents, contracts, and correspondence; submission shall not entail admission of the accuracy of the information in such documents or invoices.
4. The directorate may request an Arabic translation of the invoices indicating particulars of the goods, in accordance with the customs tariff, as well as the translation of other documents, if necessary.

Article 28

The value of exported goods shall be the value indicated at the time of registering the customs declaration in addition to all costs incurred prior to the arrival of the goods at the customs zone.

Article 29

Goods not included in the customs tariff schedules and their explanatory notes shall be classified in accordance with the rules issued by the World Customs Organization. Goods subject to domestic subheadings in the tariff schedule shall be classified within the context of the GCC Member states.



Part 5: Importation and Exportation

Chapter 1: Importation

1. Maritime Transportation

Article 30

- A. Goods imported by sea shall be recorded in the cargo manifest.
- B. A single manifest shall be made for the entire cargo and shall be signed by the shipmaster, comprising the following information:
 - 1. Name, nationality, and registered cargo of the vessel.
 - 2. Types and gross weight of goods, as well as the weight of bulk goods, if any. If the goods are prohibited, their true nomenclature shall be stated.
 - 3. Number of packages and other items and the description of their packaging, as well as their markings and numbers.
 - 4. Name of consignor and consignee.
 - 5. Ports of loading.
- C. The shipmaster shall, upon entering the customs territory, present the original cargo manifest to the competent agencies.
- D. The shipmaster shall, upon arriving at the port, submit to the customs zone the following documents:
 - 1. Cargo manifest.
 - 2. Manifest of the vessel's supplies, as well as the crew's baggage and goods.
 - 3. Passenger list.
 - 4. List of the goods to be unloaded at that port.
 - 5. Bills of lading as well as documents the customs zone may require in application of customs laws.
- E. Customs declarations and documents shall be submitted within 36 hours from the time of the vessel's arrival at the port. Official holidays shall not be counted within said period.

Article 31

If the cargo manifest belongs to a vessel that does not make regular voyages or has no shipping agent at the port, or belongs to a sailboat, said manifest must be indorsed by the customs authorities at the port of loading.



Article 32

- A. The cargo of vessels and all other maritime means of transport may only be unloaded within a port's customs zone. Goods may not be unloaded or transshipped except under the supervision of the customs zone.
- B. Unloading and transshipment shall be made in accordance with the conditions set forth by the general director.

Article 33

Subject to the provisions of Article 54 of this Law, the vessel's shipmaster or the vessel's agent or his representative shall be liable for any shortage in the number of packages and other items, and their contents, or the amount of bulk goods prior to their delivery to storehouses or warehouses or to their owners.

Article 34

If there is any shortage in the number of unloaded packages or items or in the amount of bulk goods compared to those stated in the cargo manifest, the shipmaster or his representative shall justify such shortage and submit any documents proving that it has occurred outside the maritime customs territory. If such documents cannot be duly presented, they may be submitted within a period of six months, provided that a proper guarantee is submitted.

2. Land Transportation

Article 35

Customs procedures for goods imported by land shall be completed at the first customs zone and may, as determined by the general director, be referred to another internal customs zone.

Article 36

- A. A manifest shall be made out for the entire cargo of a means of land transport, and shall be signed by the carrier or his representative; such manifest shall include adequate information on the means of transport, its cargo, and all other data in accordance with the conditions set by the general director.
- B. Carriers of goods or their representatives shall submit the cargo manifest to the customs zone upon arrival.

3. Air Transportation

Article 37

Subject to the provisions of Article 22 of this Law, aircraft must follow the designated routes when crossing the state's borders and must land only at airports where customs zones are located.

Article 38

A manifest shall be made out for the entire cargo of an aircraft, and shall be signed by the pilot in accordance with the conditions provided for in Article 30(a), (b), (c), and (d) of this Law.



Article 39

An aircraft pilot or his representative shall present the cargo manifest and the lists referred to in Article 38 of this Law to customs officers upon arrival.

Article 40

Cargo may not be jettisoned from an aircraft during flight, unless required for safety reasons; in such case, the customs zone must be notified of the same, subject to the provisions set forth in other relevant laws.

Chapter 2: Exportation

Article 41

Owners of loaded or unloaded means of transport of goods, or their agents, shall, upon exiting a state, submit to the customs zone the cargo manifest in accordance with the provisions of Chapter 1 of this Part and shall obtain an exit permit. The general director may, in certain cases, make exceptions to this stipulation.

Article 42

Exporters must deliver the goods prepared for exportation to the competent customs zone and submit an itemized declaration thereof. Land carriers shall be prohibited from bypassing the customs zone.

Chapter 3: Postal Transportation

Article 43

Goods shall be imported or exported by mail in accordance with the provisions of this Law and subject to the provisions of international postal agreements and other applicable local laws and regulations.

Chapter 4: Common Provisions

Article 44

- A. Sealed packages wrapped together may not be stated in the cargo manifest as a single package. Containers, pallets, and trailers shall be subject to instructions issued by the general director.
- B. A single consignment of goods may not be split. The general director may, however, authorize such splitting for acceptable reasons, provided that such action does not result in any financial loss to the state.



Article 45

The provisions of Articles 32, 33, and 34 of this Law regarding maritime transportation shall apply to land and air transportation with respect to the unloading and transshipment of goods. In case of land and air transportation, drivers, pilots, and carriers shall be liable for any shortage.

Article 46

The directorate may use electronic means in exchanging information relating to customs clearance.

Part 6: Stages of Customs Clearance

Chapter 1: Declarations

Article 47

An itemized customs declaration shall, upon clearance of goods, including tax-exempted goods, be submitted to the customs zone using forms approved within the GCC states. Such declaration shall include the information required for the application of customs laws and the collection of customs duties, and which can be used for statistical purposes.

Article 48

Subject to the provisions of Article 27(1) of this Law, the general director shall specify the documents to be included with the customs declaration and the information to be contained therein. If such documents cannot be presented, the general director may allow completion of the clearance procedures against cash or bank guarantees or a written undertaking to submit such documents pursuant to conditions set thereby.

Article 49

Information included in the customs declaration may not be changed after registration. A written request for correction may be made to the director prior to the declaration's referral for inspection.

Article 50

Owners of goods, or their representatives, may examine their goods prior to submitting their customs declarations, and may, upon obtaining permission from the director and under the supervision of the customs zone, collect samples therefrom, if necessary. Such samples shall be subject to applicable customs duties.

Article 51

No persons other than the owners of goods or their representatives may have access to the customs declaration and documents, with the exception of the competent judicial authorities or relevant agencies.



Chapter 2: Inspection of Goods

Article 52

The competent officer shall inspect the goods wholly or partially after registering the customs declaration in accordance with instructions issued by the director.

Article 53

- A. Goods shall be inspected within the customs zone. In certain cases, inspection may be conducted outside the zone in accordance with the rules set forth by the general director.
- B. Transportation of goods to the inspection site, unpacking and repacking of packages, and all other activities required for inspection shall be carried out at the owner's expense. The owner shall be liable for the goods until their arrival at the inspection site.
- C. Goods stored in customs warehouses or placed at inspection sites may not be moved without the customs zone's approval.
- D. Workers involved in cargo transportation and presentation for inspection must be approved by the customs zone.
- E. A person may not access customs storehouses, warehouses, hangars, sheds, or yards designated for inspection without the customs zone's approval.

Article 54

Inspection may be carried out only in the presence of the owner of the goods or his representative. If there is a shortage in the contents of packages, liability shall be determined as follows:

1. If the goods entered the customs storehouses or warehouses in packages that are in an apparent sound condition and it can be ascertained that said shortage had occurred in the country of origin prior to shipping, pursuit of the matter shall be discontinued.
2. If goods enter customs storehouses or warehouses in packages that are not in an apparent sound condition, the agency in charge of the storehouses or warehouses and the carrier shall record such fact in the delivery report, and shall verify the weight, contents, and number of packages. The agency shall also take the necessary measures to ensure the safety of the goods. In this case, the carrier shall be liable. If, however, a notation is entered on the manifest and indorsed by the customs of the country of origin, pursuit of the matter shall be discontinued.
3. If the goods entered the customs storehouses or warehouses in packages that are in an apparent sound condition and there is a reasonable suspicion that such packages have been tampered with thereafter, the agency in charge of the storehouses or warehouses shall be liable for any shortage or substitution.

Article 55

The customs zone may open and inspect packages suspected of containing prohibited goods or goods contrary to the information provided in the customs documents in the absence of their owner, or his representative, if he fails to attend the inspection despite being notified. The customs zone may, if necessary and prior to notifying the owner of the goods or his representative, carry out the inspection through a committee formed for this purpose pursuant to a decision by the general director; said committee shall draft a report on its findings.



Article 56

- A. The customs zone may have the goods examined by the competent agencies to verify their type, specifications, and compliance with the law.
- B. Goods which must meet certain criteria and specifications in order to be released must be examined or inspected. The director may, however, release such goods, provided that proper guarantees are provided to ensure the disposition thereof is made only after the examination results come out.
- C. The general director may order the destruction of goods which, through inspection or examination, are proven to be harmful or not in compliance with approved specifications. Such destruction shall be carried out at the expense of the owner of the goods and in his presence or the presence of his representative. The goods shall, if necessary, be re-exported to their country of origin and a report thereon shall be drafted.

Article 57

Customs duties shall be collected in accordance with the customs declaration. If a discrepancy arises between the information provided in the declaration and the inspection findings, the duties shall be collected according to the inspection findings, without prejudice to customs' right to collect fines, if any, in accordance with this Law.

Article 58

If the customs zone is unable to verify the contents of the customs declaration through inspection of the goods or the submission of relevant documents, it may suspend the inspection and request the documents necessary for verification.

Article 59

The customs zone may reinspect the goods in accordance with the provisions of Articles 52 to 56 of this Law.

Chapter 3: Provisions Relating to Passengers

Article 60

The competent customs zones shall inspect and clear the items belonging to passengers in accordance with the principles and rules set forth by the general director.



Chapter 4: Valuation

Article 61

A valuation committee composed of customs officers shall be formed pursuant to a decision by the general director in order to settle any disputes arising between the customs zone and relevant parties regarding the value of imported goods; it may, if necessary, seek the assistance of experts.

Without prejudice to the importer's right to judicial recourse, he may appeal the increased value decision before the valuation committee within 15 days from the date of registering the customs declaration or from the date of being notified of the customs valuation through proof of delivery. Committee decisions shall be passed by majority vote and shall become effective upon the approval of the general director. The importer must be notified in writing of the committee's decision regarding his appeal, and said decision shall be reasoned.

Article 62

- A. If a dispute arises between the customs officer and the owner over the value of the goods, the matter shall be referred to the director. If the director approves the officer's valuation and the owner objects to the same, the matter shall be referred to the general director or the valuation committee for settlement.
- B. The director may release the disputed goods, if not prohibited, upon providing a financial guarantee in an amount equal to the customs duties determined by the customs zone. Samples of the goods shall, if necessary, be provisionally kept for reference, and shall be returned to the owner when they are no longer needed, unless they are consumed during inspection and examination.

Chapter 5: Payment of Customs Duties and Release of Goods

Article 63

- A. Goods shall be subject to customs duties, and may not be released except after completion of customs procedures and payment of duties and other fees prescribed under this Law.
- B. Delivery of goods to their owners, or their representatives, shall be made in accordance with the procedures set by the general director.

Article 64

Officers in charge of collecting customs duties shall issue an official receipt in the name of the importer using the form approved by the minister or the competent agency.

Article 65

If a state of emergency is declared, arrangements may be made to withdraw goods against special guarantees and conditions set by the minister or the competent agency.



Article 66

Goods may, in accordance with the rules and conditions set by the general director, be released prior to payment of customs duties and after completion of customs procedures against bank, cash, or documentary guarantees.

Part 7: Customs Duties: Exemption and Reimbursement

Chapter 1: General Provisions

Article 67

Entry of goods or the transfer thereof to another location within the state may be carried out without payment of customs duties, provided that a cash or bank guarantee the amount of which is equivalent to the amount of the customs duties payable is provided, in accordance with the instructions issued by the general director.

Article 68

Release of cash and bank guarantees, as well as undertakings, shall be pursuant to a discharge certificate issued in accordance with the conditions set by the general director.

Chapter 2: Goods in Transit

Article 69

Subject to Article 67 of this Law and the provisions of the GCC Unified Economic Agreement, goods may transit the territories of GCC states in accordance with applicable international laws and agreements.

Article 70

Transit may be permitted only at authorized customs zones.

Article 71

Subject to applicable regional and international agreements, transit goods shall, under the carrier's liability and in accordance with the instructions of the general director, be transported through designated routes using various means of transport. The roads and routes of transportation and the conditions thereof shall be determined pursuant to a decision by the minister or the competent agency.

Article 72

If goods are transported from one customs zone to another, relevant parties may be exempted from submitting an itemized declaration at the point of entry, and referral shall be made pursuant to the documents and conditions specified by the general director.



Article 73

The minister or the competent agency shall issue the necessary decisions to regulate the suspension of customs duties on other means of transit transport.

Chapter 3: Warehouses

Article 74

Warehouses shall be established within or outside the customs zones pursuant to a decision by the minister or the competent agency and in accordance with rules and conditions set by the general director.

Article 75

Goods may be deposited in warehouses located within or outside the customs zone without payment of customs duties in accordance with rules and conditions set by the general director.

Article 76

The directorate may supervise and monitor the warehouses managed by other agencies, in accordance with this Law and other applicable laws.

Chapter 4: Duty-free Zones and Shops

Article 77

Duty-free zones and shops shall be established by the legal instrument of each state, and the rules, conditions, and customs procedures related to such zones and shops shall be determined pursuant to a decision by the minister or the competent agency.

Article 78

- A. Subject to the provisions of Articles 79 and 80 of this Law, foreign goods of any type or origin may be brought into or taken out of duty-free zones and shops, as well as transported therefrom to other duty-free zones and shops or outside the state, without being subject to customs duties.
- B. Foreign goods re-exported from within the state may enter duty-free zones and shops, provided that they be subject to export restrictions and customs procedures applicable to re-exportation.
- C. Goods within duty-free zones and shops shall not be subject to any restrictions regarding the period they may remain in such zones or shops.

Article 79

Goods listed in the cargo manifest with import fees may not be transported or brought into duty-free zones and shops except with the approval of the general director and in accordance with the conditions and controls set by him.



Article 80

The following goods shall be prohibited from entering duty-free zones and shops:

1. flammable goods, except for fuels necessary for operation which are permitted by the agency supervising duty-free zones and shops under the conditions set by the competent agencies;
2. radioactive materials;
3. military weapons, ammunition, and explosives of any type, unless licensed by the competent agencies;
4. goods in violation of laws related to the protection of commercial, industrial, literary, and artistic property rights which are subject to decisions issued by the competent agencies;
5. narcotic drugs and their derivatives;
6. goods originating from an economically boycotted state; and
7. goods prohibited from entering a state; a list of such goods shall be made by each state.

Article 81

Customs zones may carry out inspections of duty-free zones and shops in search of any goods prohibited from entering such zones and shops; they may, if goods are suspected to have been smuggled, inspect such goods and audit related documents.

Article 82

The management of duty-free zones and shops shall submit to the directorate, upon request, a list of the goods entering and exiting such zones and shops.

Article 83

Goods within duty-free zones and shops may not be transported to other duty-free zones, shops, storehouses, or warehouses except in accordance with guarantees, undertakings, and procedures set by the general director.

Article 84

Goods shall be withdrawn from duty-free zones and shops into the state in accordance with applicable laws and instructions issued by the general director.

Article 85

Goods exiting duty-free zones and entering customs zones shall be treated as foreign goods, even if they include local raw materials or items on which customs duties have been collected prior to their admission into the duty-free zones.

Article 86

National and foreign vessels shall be permitted to obtain from duty-free zones any necessary maritime equipment.



Article 87

The management of duty-free zones and shops shall be liable for violations committed by its staff and for goods illegally exiting such zones and shops. Laws and instructions relating to security and public health, and combating smuggling and fraud shall remain in force within such zones and shops.

Article 88

Goods entering or exiting the state from duty-free zones or shops shall be treated as foreign goods.

Chapter 5: Provisional Admission

Article 89

Subject to the provisions of this Chapter, the GCC Unified Economic Agreement, and other applicable international agreements, goods may be provisionally admitted without collection of customs duties in accordance with the conditions set forth in the Implementing Regulations.

Article 90

The general director may grant provisional admission of:

1. heavy machinery and equipment required for the completion of projects or for the conducting of practical and scientific experiments relating thereto;
2. foreign goods imported for the completion of manufacturing;
3. items provisionally imported for sports fields, theaters, exhibitions, and the like;
4. machinery, equipment, and devices imported into the state for maintenance;
5. containers and packages imported for refilling;
6. animals admitted for grazing;
7. commercial samples for exhibition purposes; and
8. any other cases requiring such admission.

Items provided for in this Article shall be re-exported or deposited with the duty-free zone, customs zones, or warehouses during the period of provisional admission provided in the Implementing Regulations of this Law.

Article 91

The provisional admission of vehicles shall be subject to the provisions of the GCC Unified Economic Agreement and relevant international agreements and in accordance with the Implementing Regulations.

Article 92

Materials and items released under provisional admission may not be used, allocated, or disposed of for purposes other than those for which they were imported and stated in the declaration.



Article 93

Any shortage in the goods released under provisional admission shall be subject to customs duties due at the time of entry.

Article 94

The Implementing Regulations of this Law shall determine the rules governing the implementation of provisional admission and the guarantees therefor.

Chapter 6: Re-exportation

Article 95

Goods imported into the state without collection of customs duties due thereon may be re-exported outside the state or to duty-free zones in accordance with the procedures and guarantees specified in the Implementing Regulations.

Article 96

Permission may, in certain cases, be granted for the transshipment of goods, or for the withdrawal of goods that have not been placed in customs warehouses from wharves to ships in accordance with conditions set by the general director.

Chapter 7: Reimbursement of Customs Duties

Article 97

Customs duties collected on foreign goods shall, in case of re-exportation, be reimbursed wholly or partially in accordance with the Implementing Regulations of this Law.



Part 8: Exemptions

Chapter 1: Goods Exempted from Customs Duties

Article 98

Goods exempted from customs duties in the GCC Unified Customs Tariff shall be exempted from customs duties stipulated under this Law.

Chapter 2: Diplomatic Exemptions

Article 99

Imports of diplomatic missions, consulates, international organizations, and accredited members of the diplomatic and consular missions shall be exempted from customs duties on the basis of reciprocity, in accordance with applicable international agreements, laws, and decisions.

Article 100

- A. Goods exempted under Article 99 of this Law may not be assigned or disposed of in a manner which diverges from the purpose for which they were exempted unless the directorate is notified thereof and due customs duties are paid.
- B. Goods exempted under Article 99 shall not be subject to customs duties, on the basis of reciprocity, if the beneficiary disposes of such goods three years following their date of release by the customs zone.
- C. An exempted vehicle may not be disposed of prior to the lapse of three years from the date of its exemption, unless:
 - 1. the term of duty of the diplomat benefiting from such exemption expires in the state;
 - 2. the exempted vehicle sustains an accident which renders it unsuitable for use by the diplomat or consular pursuant to a decision by the traffic and customs directorates; and
 - 3. the vehicle is sold by a diplomat to another diplomat, provided the assignee is entitled to the exemption.

Article 101

The exemption shall take effect for beneficiaries under Article 99 of this Law on the date of commencement of their duties at their official work premises in the state.



Chapter 3: Military Exemptions

Article 102

Ammunition, weapons, equipment, military means of transport and parts thereof, and any other materials imported by all sectors of the armed forces and internal security forces shall be exempted from customs duties pursuant to a resolution by the council of ministers or a decision by the competent authority in each state.

Chapter 4: Personal Effects and Household Items

Article 103

- A. Personal effects and used household items brought into the state by nationals residing abroad and expatriates entering the state for the first time to reside therein shall be exempted from customs duties subject to the conditions and controls set by the general director.
- B. Personal effects and gifts brought by passengers shall, in accordance with the conditions and controls specified in the Implementing Regulations, be exempted from customs duties provided they are not of a commercial nature.

Chapter 5: Charitable Societies Supplies

Article 104

Charitable societies supplies shall be exempted from customs duties in accordance with the controls and conditions specified in the Implementing Regulations of this Law.

Chapter 6: Returned Goods

Article 105

The following shall be exempted from customs duties:

1. Returned goods of local origin which were previously exported.
2. Re-exported foreign goods which are returned within one year from the date of re-exportation.
3. Goods temporarily exported for repair or manufacturing purposes shall be subject to customs duties on the increase resulting from such repair or manufacturing, pursuant to a decision by the general director.

The minister or the competent agency shall, pursuant to a decision issued thereby, determine the relevant conditions.



Chapter 7: Common Provisions

Article 106

- A. The exemptions provided for in this Part shall apply to goods covered by the exemption, whether directly or indirectly imported, and whether purchased from customs warehouses or duty-free zones, subject to the conditions set by the directorate.
- B. If a dispute arises over whether the goods provided for in this Part are subject to or exempted from customs duties, the general director shall resolve such dispute.

Part 9: Service Fees

Article 107

- A. Goods placed in the yards and warehouses of the customs zone shall, in accordance with applicable rates, be subject to storage, handling, and insurance fees, and other service fees. Storage fees may not exceed 50% of the goods' estimated value.

If goods are placed in warehouses managed by other agencies, such agencies may collect such fees in accordance with applicable rates and provisions.

- B. Goods may be subject to stacking, stamping, and testing fees, and other service fees.
- C. Services and fees provided for in this Article, as well as conditions for collection of such fees, shall be determined pursuant to a decision by the minister or the competent agency.

Part 10: Customs Brokers

Article 108

A customs broker is any natural or legal person who, for the benefit of others, engages in preparing, signing, and submitting customs declarations with a customs zone and completing customs procedures for the clearance of goods.

Article 109

GCC citizens, whether natural or legal, may engage in the profession of customs brokerage upon obtaining a license from the directorate.

Article 110

Submission of declarations of goods with customs zones and completion of customs procedures whether for exportation, importation, or transit shall be made by:

1. the owners of goods or their authorized representatives who satisfy the conditions set by the general director, including authorization conditions; or
2. licensed customs brokers.



Article 111

Indorsement of a delivery permit in the name of a customs broker or the representative of the owner of goods shall be deemed an authorization to complete the customs procedures without any liability to the directorate for delivering the goods to the indorsee.

Article 112

A customs broker shall, under this Law, be liable for his actions and those of his staff against importers, exporters, and the directorate.

Article 113

The general director may issue instructions for the following:

1. Conditions for issuing customs brokerage licenses.
2. Conditions for issuing customs broker representative licenses.
3. Procedures for issuing a customs license to a customs broker and a customs broker representative.
4. Obligations of the customs broker and the customs broker representative.
5. Conditions for opening a customs brokerage office.
6. Number of customs brokers and customs brokers representatives authorized to operate in customs zones.
7. The customs zone, or zones, wherein brokers are authorized to operate.
8. Procedures for terminating the service of customs brokers and customs brokers representatives.
9. Procedures for transferring customs brokers representatives between customs brokerage offices.
10. Procedures for revoking the licenses of customs brokers and customs brokers representatives.
11. Removal of brokers from the directorate's register.

Article 114

Subject to Article 141 of this Law and without prejudice to any civil or criminal liability provided for in this Law or in any other law, the general director may impose the following penalties on customs brokers and their representatives after conducting an investigation and notifying the relevant department at the directorate, provided the penalty imposed is proportionate to the violation:

1. A warning notice.
2. A fine not exceeding five thousand Saudi riyals or its equivalent in other GCC currencies.
3. Suspension for a period not exceeding two years.
4. Revocation of the license and prohibition from engaging in the profession permanently.

An appeal against the penalty decision may be filed with the minister or the competent agency within 30 days from the date of notification. The decision of the minister or the competent agency shall be final.



Article 115

The customs broker shall, under the conditions specified by the directorate, maintain a record of completed customs transactions made for the benefit of others for five years. Such record shall include the amount of duties paid to the customs zone, the fees paid to the broker, and any other relevant expenses. The director or his designee shall have unrestricted access to such records without any objection from the customs broker.

Part 11: Rights and Obligations of Customs Officers

Article 116

- A. Customs officers shall, within their jurisdiction, be deemed preliminary investigation officers when carrying out their duties.
- B. Customs officers shall, upon appointment, be provided with employment identification cards to present upon request.
- C. Customs officers shall, as the case may be, wear the official uniform when carrying out their duties.

Article 117

Civil and military authorities and internal security forces shall, if requested, provide customs officers with any assistance they may need to carry out their duties. The directorate shall cooperate with other government agencies.

Article 118

Customs officers may carry weapons if their duties so require. Such officers shall be designated pursuant to a decision by the minister or the competent agency.

Article 119

A customs officer shall surrender the items in his custody to the directorate upon termination of his service.

Article 120

Incentives and allowances granted to customs officers according to their duties shall be determined pursuant to a decision by the minister or the competent agency based on a recommendation by the general director. Such incentives and allowances shall become effective upon the approval of competent agencies.



Part 12: Customs Territory

Article 121

Prohibited and restricted goods, goods subject to high customs duties, and goods designated pursuant to a decision by the general director shall be subject to the provisions applicable within customs territories. The Implementing Regulations shall determine the transportation conditions within said territories as well as the required documents and procedures.

Part 13: Customs Cases

Chapter 1: Smuggling-related Procedures

Article 122

- A. Customs officers must combat smuggling and may, to this end, inspect goods and means of transport and search persons in accordance with the provisions of this Law and other applicable laws.
- B. Body search of women may only be carried out by female customs inspectors.
- C. Customs officers may, if there is sufficient evidence to suspect smuggling, and upon obtaining permission from the competent agency, search any house, storehouse, or shop in accordance with applicable laws.
- D. Customs officers shall not be liable for any damage arising from properly carrying out their duties.

Article 123

Authorized customs officers may board all vessels in local ports and vessels entering or leaving the ports; remain on board until the cargo is unloaded; and search the vessel.

Article 124

Authorized customs officers may board vessels inside the customs territory to inspect them or to collect the cargo manifest and any other documents required under this Law. Such officers may, if the required documents are not provided or not available and if the goods are prohibited or suspected to be smuggled, take all the necessary measures to seize such goods and shall guide the vessel to the nearest customs zone.

Article 125

The directorate may take the appropriate measures to detect smuggling inside and outside customs zones in accordance with rules set by the minister or the competent agency.



Article 126

Detection of smuggling, seizure of goods, and investigation of customs violations within the state's territories relating to all goods may be carried out if they are:

1. within the land and maritime customs territories;
2. within the customs zones, seaports, airports, and any place subject to customs control; and
3. outside the land and maritime customs territories if customs officers track and pursue such goods after detecting the smuggling within such territory.

Article 127

Customs officers may access papers, documents, records, correspondence, and commercial contracts directly or indirectly related to customs operations, and may seize the same upon detecting any violations committed by shipping and transportation establishments and all natural and legal persons involved in customs operations. Such establishments and persons shall maintain the aforementioned documents from the date of completion of customs operations for five years.

Article 128

Customs officers may detain any person suspected to have committed or attempted to commit a crime or to have been involved in any of the following crimes:

1. smuggling; and
2. transporting or possessing smuggled goods.



Chapter 2: Seizure Report

Article 129

A seizure report shall be prepared for customs smuggling offenses and violations in accordance with this Law.

Article 130

The seizure report shall be prepared by at least two customs officers upon detection of a violation or smuggling offense. The report may, if necessary, be prepared by a single officer.

Article 131

The following information shall be included in the report:

1. Place, date, and time the report is prepared, to be indicated in letters and numbers.
2. Names, signatures, and positions of the officers who detect the violation and who prepare the seizure report.
3. Names, nationalities, descriptions, professions, and detailed addresses of the violators or smugglers.
4. The seized goods, their types, quantities, value, and tariff code.
5. A detailed description of the facts and statements of violators and smugglers, as well as statements of witnesses, if applicable.
6. A statement in the report indicating that it has been read to the violators or smugglers. The content of the report shall be deemed accepted if signed thereby, otherwise it shall be deemed rejected.
7. All other supporting documents, and a statement of whether the violators and smugglers attended or declined to attend the taking of inventory of the goods.
8. Referring samples of the seized smuggled goods to the competent agencies to verify whether prohibited materials are included.
9. Identifying the agency to which the smuggled goods have been delivered and obtaining proof or receipt.
10. Identifying the security agency to which the smugglers have been transferred and the date and time of the transfer.

Article 132

- A. The seizure report prepared in accordance with Articles 130 and 131 of this Law shall be deemed conclusive evidence with respect to the material facts witnessed by the customs officers who prepared the report, unless proven otherwise.
- B. A deficiency in the seizure report's formality shall not render it null and void; and may only be returned to the customs officers who prepared it if the deficiency involves a material fact.



Article 133

The customs zone may seize the goods subject of the violation or the smuggling and the items used for concealing the goods, as well as the means of transport, including boats, vehicles, and animals. Certain means of transport, such as ships, aircraft, and public transit buses, may not be seized unless they have been specifically prepared for smuggling.

Article 134

Disposition of smuggled materials or those attempted to be smuggled, such as narcotic drugs and any material deemed a narcotic drug, shall be subject to the laws applicable in the state.

Chapter 3: Provisional Measures

Section 1: Provisional Seizure

Article 135

- A. Customs officers who prepare the seizure report may seize the goods subject of the violation or the smuggling, the means of concealment and transport thereof, and all relevant documents in order to establish the violation or the smuggling and to use the same as guarantees for any customs duties, fees, and fines.
- B. The general director may, if necessary, request the competent authorities to impose provisional seizure on the property of violators and smugglers which are in the possession of third parties as guarantee for payment of customs duties, fees, and fines and for the enforcement of final decisions and judgments.

Article 136

Pursuant to a decision by the general director, customs insurance may, if necessary, be imposed on the property of persons subject to customs duties or their partners.

Article 137

Arrests can only be made in the following cases:

1. Smuggling offenses in which the offender is caught in flagrante delicto.
2. Resisting customs officers or security officers in a manner that impedes the detection or investigation of customs violations or smuggling offenses or impedes seizure of persons involved therein.

Arrest warrants shall be issued by customs officers entrusted with law enforcement authority or by security agencies. Arrested persons shall be brought before the competent court within 24 hours from the time of arrest.



Section 2: Banning Violators and Persons Accused of Smuggling from Travel

Article 138

The general director or his designee may request the competent authorities to ban a violator or person accused of smuggling from leaving the state if the value of seized goods is not sufficient to cover the duties, fees, and fines.

The travel ban shall be lifted if the violator or the person accused of smuggling provides a security that covers any amounts he may be required to pay, or if it is established that the value of the goods is sufficient to cover such amounts.

Chapter 4: Customs Violations and Penalties

Article 139

Collected customs fines and items confiscated under this Law shall be deemed civil damages allocated to the directorate and shall not be subject to general amnesty.

Article 140

In case of multiple violations, fines for such violations shall be collected separately. If the violations are interrelated and cannot be separated, the harshest fine shall be imposed.

Article 141

With the exception of smuggling cases provided for in Article 143 of this Law and without prejudice to applicable international agreements, fines shall, in accordance with the Implementing Regulations of this Law, be imposed on any violation relating to:

1. importation and exportation;
2. customs declarations;
3. goods in transit;
4. warehouses;
5. areas under customs supervision;
6. temporary admission;
7. re-exportation; and
8. any other customs violation.



Chapter 5: Smuggling and Corresponding Penalties

Section 1: Smuggling

Article 142

Smuggling is the act of unlawfully transporting or attempting to transport goods into or out of the state without payment of customs duties wholly or partially or doing the same in violation of the provisions of prohibition or restriction provided for in this Law or in other laws.

Article 143

The following shall be deemed smuggling offenses:

1. Failing to proceed with the goods to the first customs zone.
2. Failing to follow the routes designated for transporting goods into or out of the state.
3. Loading and unloading vessels in a manner contrary to the laws of customs zones or loading and unloading vessels within the maritime customs territory.
4. Unlawfully loading or unloading aircraft cargo outside public airports or jettisoning goods during flight, subject to Article 40 of this Law.
5. Failing to provide a cargo manifest for imported or exported goods at customs zones, including commercial goods brought by passengers.
6. Passing customs zones upon entering or exiting the state without declaring the goods.
7. Concealing undeclared goods in places, cavities, or spaces not usually designated for containing such goods and uncovering them at customs zones.
8. Discovering an overage, shortage, or alteration in the number of packages or the contents of such packages, which have been declared exempted from customs duties as provided for in Part 7 of this Law, after the goods exit the customs zone. This shall include goods which are smuggled through the state or which transit the state without completing customs procedures; in such case, the carrier shall be liable.
9. Failing to submit proof required by the directorate to establish the customs duties exemption provided for in Part 7 of this Law.
10. Transporting goods from duty-free zones and shops, customs storehouses or warehouses, or customs zones without completing customs procedures.
11. Providing false, fraudulent, forged, or fabricated documents and lists or placing false markings to evade payment of customs duties wholly or partially or to circumvent the provisions of prohibition or restriction.
12. Transporting or possessing prohibited or restricted goods without providing proof that they have been lawfully imported.
13. Unlawfully transporting or possessing goods subject to customs control within the customs territory.
14. Failing to re-import goods the exportation of which is prohibited or goods that are provisionally exported for any purpose.



Section 2: Criminal Liability

Article 144

Criminal liability for smuggling requires the presence of intent; applicable criminal laws shall be taken into consideration upon determining such liability. The following persons shall be deemed criminally liable:

1. principal offenders;
2. accomplices;
3. accessories before and after the fact;
4. possessors of smuggled goods;
5. owners of means of transport used for smuggling as well as drivers and their assistants whose involvement in the smuggling is established;
6. owners or lessees of shops and places where smuggled goods are placed or beneficiaries found to be aware of the presence of smuggled goods in their shops or places.

Section 3: Penalties

Article 145

Without prejudice to any harsher penalty stipulated under any other applicable law in the state, any act deemed a smuggling offense under this Law or any attempt to commit such act shall be punishable as follows:

1. If the smuggled goods are subject to high customs duties, the penalty shall be a fine not less than double the amount of the due customs duties and not more than double the value of the goods and imprisonment for a term not less than one month and not more than one year, or by either penalty.
2. If the smuggled goods are not subject to high customs duties, the penalty shall be a fine of not less than double the due amount of the customs duties and not more than the value of the goods and imprisonment for a term not less than one month and not more than one year, or by either penalty.
3. If the smuggled goods are exempted from customs duties, the penalty shall be a fine of not less than 10% of the value of the goods and not more than the value of the goods and imprisonment for a term not less than one month and not more than one year, or by either penalty.
4. If the smuggled goods are prohibited, the penalty shall be a fine of not less than the value of the goods and not more than three times the value of the goods and imprisonment for a term not less than six months and not more than three years, or by either penalty.
5. Confiscation of the smuggled goods or, if such goods are not confiscated, payment of an amount equal to their value.
6. Confiscation of the means of transport, tools, and materials used in the smuggling, excluding public means of transport such as ships, aircraft, trains, and vehicles, unless they are prepared or leased for such purpose, or, if not confiscated, payment of an amount equal to their value.
7. The penalty may be doubled if the offense is repeated.



Article 146

The general director may seize goods and means of transport if smugglers flee or cannot be identified, and sell the same in accordance with the provisions of Part 14 of this Law. The sale proceeds shall devolve to the state treasury upon the lapse of one year from the date of sale if the smugglers are not apprehended. If, however, they are apprehended or brought for trial within such period and a judgment confiscating the goods is issued, the confiscation procedures shall apply to the proceeds of sale.

Chapter 6: Administrative, Judicial, and Conciliatory Action

Section 1: Administrative Action

Article 147

- A. The general director may issue decisions necessary for the collection of unpaid customs duties, fees, and fines.
- B. Collection decisions may be appealed before the directorate within 15 days from the date of notification. Appeals shall not stay the execution of decisions unless a bank guarantee or cash security is provided to fully cover the claimed amounts.

Article 148

- A. Fines stipulated in Chapter 4 of this Part shall be imposed pursuant to a decision by the general director or his designee.
- B. The violator or his representative shall be notified of the fine imposed against him pursuant to a written notice served by the competent agency; the violator shall pay the fine within 15 days from the date of notification.

Article 149

The penalty decision referred to in Article 148 may be appealed before the minister or the competent agency within the 15-day period. The minister or the competent agency may affirm, amend, or cancel such decision.



Section 2: Judicial Action

Article 150

Prosecution of smugglers may only be initiated pursuant to a written motion from the general director.

Section 3: Conciliatory Action

Article 151

- A. The general director or his designee may, upon a written request from concerned persons, make conciliatory settlements in smuggling cases, whether prior to or during the proceedings and before issuing a preliminary judgment, in lieu of customs penalties and fines stipulated in Article 145 of this Law.
- B. A conciliatory settlement guide shall be issued pursuant to a decision by the minister or the competent agency.

Article 152

Subject to the provisions of Article 151, conciliatory settlements shall be as follows:

1. If smuggling involves goods that are subject to high customs duties, the penalty shall be a fine not less than double the amount of the due customs duties and not more than double the value of the goods.
2. If the smuggling involves goods that are not subject to high customs duties, the penalty shall be a fine of not less than the due amount of the customs duties and not more than 50% of the value of the goods.
3. If the smuggled goods are exempted from customs duties, the penalty shall be a fine of not less than 10% and not more than 50% of the value of the goods.
4. If the smuggled goods are prohibited, the penalty shall be a fine of not less than the value of the goods and not more than three times the value of the goods.
5. Confiscation, release, or re-exportation of the smuggled goods wholly or partially.
6. Confiscation of the means of transport, tools, and materials used in the smuggling, excluding public means of transport such as vessels, aircraft, and vehicles, unless they are prepared or leased for such purpose.

Article 153

The case shall be dismissed upon reaching a conciliatory settlement.



Chapter 7: Liability

Article 154

- A. The presence of the material elements in a violation or a smuggling offense shall give rise to civil liability. Any claim of good faith or ignorance may not be used as a defense; however, a person may be exempted from liability if he proves that he has been a victim of force majeure, or that he has not committed any of the acts that constituted the violation or smuggling or that the same were not committed due to his actions.
- B. Civil liability shall include, in addition to the violators and smugglers, the partners, financiers, guarantors, beneficiaries, intermediaries, agents, donors, carriers, possessors, and consignors.

Article 155

Investors of private sites where smuggled goods are kept shall be liable therefor. Liability shall also apply to investors and employees of public sites, as well as to owners and drivers of public means of transport, and their assistants, unless they prove that they are not aware of the presence of the smuggled goods and that they do not have a direct or indirect interest therein.

Article 156

Guarantors' liability shall be limited to their guarantees for payment of customs duties, fines, and other amounts due to the directorate or payable by the original payers.

Article 157

Customs brokers and their authorized employees shall be fully liable for any violations and smuggling offenses committed in relation to customs declarations. They shall not, however, be liable for undertakings made in the customs declarations unless they themselves have made such undertakings or acted as guarantors of the undertakers.

Article 158

The owners of goods, employers, and carriers shall be liable for the actions of their employees and persons working for their benefit with regard to the duties and taxes collected by the customs zone as well as the fines and confiscations imposed for such acts under this Law.

Article 159

Heirs shall not be liable for the payment of fines payable by the deceased from their shares of the inheritance, unless they are partners in the smuggling offense. The case shall be dismissed if the violator dies.

Article 160

Applicable taxes, duties, and fines, or those payable pursuant to a ruling, shall be paid jointly by the violators or the persons involved in the smuggling offense in accordance with the applicable procedures for the collection of funds due to the state treasury. The seized goods and means of transport, if any, shall serve as a guarantee for payment of the required amounts.



Chapter 8: Customs Court

Article 161

Customs courts of first instance may be formed at customs directorates and zones in accordance with the legal instrument of each state.

Article 162

The customs court of first instance shall have the following jurisdictions:

1. Considering smuggling offenses and any act deemed a smuggling offense.
2. Considering violations and offenses committed in violation of the provisions of this Law and its Implementing Regulations.
3. Considering objections to collection decisions under the provisions of Article 147 of this Law.
4. Considering objections to decisions involving fines imposed under the provisions of Article 148 of this Law.
5. The court may require any person accused under this Law to have a guarantor to guarantee his appearance before the court or it may decide to detain said person pending a decision on the case.

Article 163

- A. Judgments rendered by a customs court of first instance may be appealed before a special appeals court formed by the legal instrument of each state.
- B. The appeals court shall consider cases brought before it and shall render its decisions by majority vote.
- C. The appeal period shall be 30 days from the date of notification of the first instance judgment if rendered in absentia, and from the date of pronouncement thereof if rendered in the presence of the offender.

Article 164

Judgments rendered by the appeals court shall be final.

Article 165

Fines and collection decisions as well as judgments made in customs cases shall, upon becoming final, be enforced on the movable and immovable property of persons subject to customs duties. The minister or the competent agency may request that a sufficient portion of such properties be seized to cover payment of required amounts.



Part 14: Sale of Goods

Article 166

- A. The directorate may sell seized goods if they are perishable, subject to shortage or leakage, or are in a condition which may adversely affect other goods or affect the facilities wherein they are placed.
- B. Highly depreciable seized goods may be sold pursuant to the approval of the general director or his designee.

For the purpose of this Article, sale of goods shall be made based on a report indicating the grounds therefor and the condition of the goods. Seized goods may be sold while the case is under consideration by the competent court, provided that the owner is notified; however, if a judgment requiring the seized goods to be returned to the owner is rendered, the value of the sold goods shall be reimbursed to him after deducting any payable taxes or duties.

Article 167

The directorate may, upon the lapse of the period specified by the minister or the competent agency, sell goods stored in customs warehouses, placed in yards or wharves, or abandoned at customs zones.

Article 168

The directorate shall sell the following:

1. Goods, materials, and means of transport the ownership of which has been transferred to the customs pursuant to a judgment of confiscation, conciliatory settlement, or written relinquishment.
2. Goods which have not been withdrawn from warehouses within the statutory period specified in accordance with Article 75 of this Law.
3. Goods and materials the owners of which are unidentified and have not been claimed within the period specified by the minister or the competent agency.

Article 169

The directorate shall not be liable for any deficiency or damage sustained by the goods sold under this Law, unless it is established that it has committed a clear error during the sale process.

Article 170

- A. The sale of goods stipulated in this Part shall be made at public auction in accordance with the rules and conditions set pursuant to a decision by the minister or the competent agency.
- B. Goods, items, and means of transport shall be sold net of customs duties and other fees and taxes, excluding the brokerage commission incurred by the buyer during the sale procedures.



Article 171

A. The sale proceeds shall be distributed as follows:

1. Customs duties.
2. Costs of sale.
3. Expenses incurred by the directorate.
4. Transportation fees, if applicable.
5. Any other fees.

B. The balance remaining from the sale proceeds of goods the importation of which is permitted shall be deposited under the custody of the directorate on the day of sale after deduction of the amounts stipulated in paragraph (a) of this Article. Concerned persons may reclaim said amount within one year from the date of sale; otherwise, it shall devolve to the state treasury.

C. The balance remaining from the sale proceeds of prohibited goods or goods the importation of which is not permitted shall devolve to the state treasury.

D. The balance remaining from the sale proceeds of prohibited or restricted goods or of goods the importation of which is permitted, which are sold pursuant to a settlement, fine decision, or court judgment relating to smuggling shall be distributed, after deduction of duties, fees, and expenses, in accordance with Article 172 of this Law.

Article 172

The treasury shall be allocated 50% of the total amount of proceeds collected from customs fines and the value of confiscated or relinquished goods and means of transport after deducting customs duties and expenses. The remaining 50% shall be deposited with the customs rewards fund or with another customs account, and shall be disbursed to persons who detect violations, as well as their assistants. The minister or the competent agency shall, upon a recommendation by the general director, determine the rules for granting such rewards.

Part 15: Customs Directorate Privileges

Article 173

For the purpose of collecting customs duties and other fees and taxes, as well as fines, compensations, refunds, and the value of confiscations, the directorate shall have a priority over the movable and immovable property of persons subject to customs duties, and if bankrupt, over his debts save for judicial expenses.



Part 16: Prescription

Article 174

No claim for customs duties refund shall be accepted upon the lapse of more than three years from the date of payment thereof.

Article 175

The directorate may destroy records, receipts, declarations and other customs documents after the lapse of five years from the date of completion of customs procedures. It shall not be required to present the same or produce any copy thereof to any agency upon the lapse of such period.

Article 176

Without prejudice to other laws applicable in the state, the prescription period with regards to the directorate shall, absent any prosecution, be as follows:

1. Fifteen years for the following cases:
 - a) Smuggling offenses and any act deemed a smuggling offense, as of the date of committing the offense.
 - b) Enforcement of rulings related to smuggling offenses and any act deemed a smuggling offense, as of the date of issuing the ruling.
2. Five years for the following cases, unless a claim is filed in connection therewith:
 - a) Investigation of violations, as of the date of their commission.
 - b) Collection of imposed fines and confiscations, as of the date of issuing the fine decision.
 - c) Collection of customs duties and other fees which have not been collected due to an error by the directorate, as of the date of registering the customs declaration.

Part 17: Concluding Provisions

Article 177

- A. The general director may exempt ministries, government agencies, and public institutions from certain customs procedures to facilitate their duties.
- B. The general director may authorize the sale of confiscated or relinquished goods and items to ministries, government agencies, and public institutions at a price he deems appropriate, or he may assign such goods and items at no cost pursuant to a decision by the minister or the competent agency.

Article 178

The Implementing Regulations of this Law shall be approved by the GCC Financial and Economic Cooperation Committee and shall be issued by the legal instrument of each state.



Article 179

This Law shall supersede customs laws applicable in GCC member states upon entering into force, without conflicting with applicable constitutional laws and basic laws of each state.



Appendix

Amendments

September 2, 2021 (Muharram 25, 1443H)

Royal Decree No. M/14 provides for the following:

- Amending paragraph (4) of Article 2 to read as follows:
"**General Director:** The general director of customs or any official of a similar status at the competent agency or the directorate in accordance with the internal regulations of customs agencies of member states".
- Deleting paragraphs 16 – 23 of Article 2.
- Amending paragraph (33) of Article 2 to read as follows:
"**Duty-Free Shop:** A retail outlet which sells goods exempted from customs duties".
The paragraph shall be renumbered to be (25).
- Amending paragraph (34) of Article 2 to read as follows:
"**Customs Declaration:** A declaration or statement submitted by the owner of goods or his representative providing in detail the identifying elements of declared goods and quantities thereof, in accordance with this Law".
The paragraph shall be renumbered to be (26).
- Amending Article 10 to read as follows:
"Customs duties shall be collected according to customs tariffs and shall be either a percentage of the value of the goods or a fixed amount levied on each unit of the goods, or both for the same type of goods".
- Amending Article 18 to read as follows:
"Damaged goods shall be subject to applicable customs tariff based on their value on the date of registering the customs declaration.
Customs duties may not be collected in case of loss or relinquishment of goods, subject to terms and conditions set by the general director".
- Adding a new article to be numbered 24 bis to read as follows:
"Subject to applicable international agreements, the directorate shall take necessary border measures and procedures to protect intellectual property rights".
- Adding a paragraph to Article 36 to read as follows:
"c) The customs zone may require the driver, upon exiting the country, to provide proof of delivery of imported goods to their owners".
- Amending Article 46 to read as follows:
"Directorates may, for customs clearance purposes, exchange information using electronic means or any other means of communication".



- Amending Article 47 to read as follows:
"Preclearance may be carried out prior to the arrival of goods at the customs zone in accordance with the terms and conditions set by the general director".
- Amending Article 49 to read as follows:
"A. Information included in the customs declaration may not be changed after registration. A written request for correction may be made to the director prior to the declaration's referral for inspection.
B. The general director, or his designee, may close out the customs declaration, after registration, by indicating the last customs procedure applied to the goods".
- Amending Article 65 to read as follows:
"In case of an emergency, arrangements may be made to withdraw goods against special guarantees and conditions set by the minister or the competent agency".
- Amending Article 103 to read as follows:

"Chapter 4: Personal Exemptions

Article 103

The following shall be exempted from customs duties:

- a) Personal effects and used household items brought into the state by nationals residing abroad and expatriates entering the state for the first time to reside therein, subject to conditions and controls set by the general director.
 - b) Personal effects and gifts brought by passengers, provided they are not of a commercial nature, subject to the conditions and controls specified in the Implementing Regulations.
 - c) Incoming personal mail and packages, subject to the conditions and controls specified in the Implementing Regulations, excluding tobacco products and its derivatives as well as goods of a special nature".
- Amending Article 104 to read as follows:

"Chapter 5: Exemptions for Charitable Societies Supplies, Goods Imported for Persons with Disabilities, Items Required for Relief Operations, and Commercial Samples

Article 104

The following shall be exempted from customs duties:

- a) Charitable societies supplies.
- b) Goods provided for in the Implementing Regulations which are imported by persons with disabilities as well as government agencies and other entities which provide care to persons with disabilities.
- c) Items required for relief operations.

The Implementing Regulations shall determine the controls and conditions for the exemptions provided for in this Article".



- Adding a new article to be numbered 104 bis to read as follows:

"Chapter 5: Commercial Samples

Article 104 bis

Imported commercial samples the value of which does not exceed 5,000 Saudi riyals or its equivalent in other GCC currencies shall be exempted from customs duties. The general director may set the conditions and controls to ensure such exemption is not used for commercial purposes".

- Amending Article 105 to read as follows:

"Article 105

The following shall be exempted from customs duties:

- a) Returned goods of local origin which were previously exported.
- b) Re-exported foreign goods which are returned within one year from the date of re-exportation.
- c) Goods which are temporarily exported, and which are returned in accordance with the conditions and controls set by the Implementing Regulations.

The minister or the competent agency shall, pursuant to a decision issued thereby, determine the relevant conditions".

- Amending Article 137 to read as follows:

"Article 137

Arrests can only be made in the following cases:

- a) Smuggling offenses in which the offender is caught in flagrante delicto.
- b) Resisting customs officers or security officers in a manner that impedes the detection or investigation of customs violations or smuggling offenses or impedes seizure of persons involved therein.

Arrest warrants shall be issued by customs officers entrusted with law enforcement authority or by security agencies. Arrested persons shall be brought before the court or the competent judicial authority within 24 hours from the time of arrest".

- Amending paragraphs (8), (9), (15), and (16) of Article 143 to read as follows:

"Article 143

The following shall be deemed smuggling offenses:

1. Failing to proceed with the goods to the first customs zone.
2. Failing to follow the routes designated for transporting goods into or out of the state.
3. Loading and unloading vessels in a manner contrary to the laws of customs zones or loading and unloading vessels within the maritime customs territory.
4. Unlawfully loading or unloading aircraft cargo outside public airports or jettisoning goods during flight, subject to Article 40 of this Law.
5. Failing to provide a cargo manifest for imported or exported goods at customs zones, including commercial goods brought by passengers.



6. Passing customs zones upon entering or exiting the state without declaring the goods.
 7. Concealing undeclared goods in places, cavities, or spaces not usually designated for containing such goods and uncovering them at customs zones.
 8. Discovering an overage, shortage, or alteration in the number of packages or the contents of such packages, which have been declared exempted from customs duties as provided for in Part 7 of this Law, after the goods exit the customs zone. This shall include goods which are smuggled through the state or which transit the state without completing customs procedures; in such case, the carrier shall be liable.
 9. Failing to submit proof required by the directorate to establish the customs duties exemption provided for in Part 7 of this Law.
 10. Transporting goods from duty-free zones and shops, customs storehouses or warehouses, or customs zones without completing customs procedures.
 11. Providing false, fraudulent, forged, or fabricated documents and lists or placing false markings to evade payment of customs duties wholly or partially or to circumvent the provisions of prohibition or restriction.
 12. Transporting or possessing prohibited or restricted goods without providing proof that they have been lawfully imported.
 13. Unlawfully transporting or possessing goods subject to customs control within the customs territory.
 14. Failing to re-import goods the exportation of which is prohibited or goods that are provisionally exported for any purpose.
 15. Removal of customs seals, locks, straps, or tarpaulins for the purpose of customs evasion.
 16. Transporting fraudulent or counterfeit goods into or out of the state".
- Amending paragraph (1) of Article 145 to read as follows:

"1. If the smuggled goods are subject to high customs duties, the penalty shall be a fine not less than double the amount of the due customs duties and not more than three times the amount of the due customs duties, or double the value of the goods, whichever is higher, and imprisonment for a term not less than one month and not more than one year, or by either penalty".
 - Amending paragraph (b) of Article 148 to read as follows:

"b) The violator or his representative shall be notified of the fine imposed against him pursuant to a written notice served by the competent agency; the violator shall pay the fine within 30 days from the date of notification".
 - Amending Article 150 to read as follows:

"Article 150

Prosecution of smugglers may only be initiated pursuant to a written motion from the general director or his designee".



- Adding a new article to be numbered 150 bis to read as follows:

"Article 150 bis

The general director or his designee shall, in cases relating to smuggling goods the value of which does not exceed 1,000 Saudi riyals or its equivalent in other GCC currencies, maintain seizure reports and dispose of the smuggled goods in accordance with this Law".

- Amending paragraph (1) of Article 152 to read as follows:

"If smuggling involves goods that are subject to high customs duties, the penalty shall be a fine not less than double the amount of the due customs duties and not more than three times of such amount, or double the value of the goods, whichever is higher".

- Amending paragraph (b) of Article 166 to read as follows:

"b) Highly depreciable seized goods may be sold if approved by the general director or his designee.

For the purpose of this Article, sale of goods shall be made based on a report indicating the grounds therefor and the condition of the goods. Seized goods may be sold while the case is under consideration by the competent court, provided that the owner is notified; however, if a judgment requiring the seized goods to be returned to the owner is rendered, the value of the sold goods shall be reimbursed to the owner after deducting payable taxes, duties, and expenses".

- Amending paragraph (a) of Article 171 to read as follows:

"Article 171

a) The following shall be deducted from the sale proceeds:

1. Customs duties.
2. Costs of sale.
3. Expenses incurred by the directorate.
4. Transportation fees, if applicable.
5. Any other fees".

- Adding a new article to be numbered 177 bis to read as follows:

"Article 177 bis

Application of this Law shall not prejudice any international agreement or treaty to which the GCC states are party".

- Amending Article 178 to read follows:

"Article 178

The Implementing Regulations of this Law and the amendments thereto shall be approved by the GCC Financial and Economic Cooperation Committee and shall be issued by the legal instrument of each state".



- Amending paragraph (1) of Article 27 to read as follows:

"An original itemized invoice, whether in paper or electronic form, shall be presented with each customs declaration. The general director, or his designee, may allow clearance procedures to be completed without presenting the required invoices and documents if a bank or cash guarantee is provided or if a written undertaking is made to present such invoices and documents within a period not exceeding 90 days from the date of providing the guarantee along with the customs declaration".
- Amending paragraph (2) of Article 27 to read follows:

"The value of goods shall be established by submitting all original invoices and documents indicating such value, in accordance with the rules provided for in the Implementing Regulations".
- Adding a new unnumbered paragraph at the end of Article 27 to read as follows:

"The general director may allow customs clearance procedures to be completed without invoices if the importer is unable to present such invoices, subject to controls and conditions determined by the general director, provided they are not inconsistent with Article 26 of this Law".
- Adding a new article to be numbered 29 bis to read as follows:

"The directorate may, upon a request from the concerned party, issue advance rulings relating to the classification of goods according to the GCC Unified Customs Tariff and the bases for the determination of the value of goods for customs purposes as provided for in the Implementing Regulations, subject to the rules and conditions stipulated in the GCC Unified Guide of Advance Ruling".
- Amending paragraph (e) of Article 30 to read as follows:

"Customs declarations and documents shall, in accordance with the periods and conditions set by the general director, be provided prior to the vessel's arrival at the port; however, they may be provided after its arrival".
- Adding a new article to be numbered 47 bis 2 to read as follows:

"The directorate may archive customs declarations and documents provided in paper form and retain them electronically upon their completion; said declarations and documents shall be deemed as authentic as the original. The relevant person shall maintain the original copies and present them upon request within the period specified in this Law, in accordance with the instructions issued by the general director".
- Amending Article 48 bis to read as follows:

"The directorate may accept digital copies of declarations and documents required for clearance in accordance with the conditions and controls provided for in the Implementing Regulations. Such copies shall be deemed as authentic as the original".
- Adding a new paragraph to be lettered (c) to Article 49 to read as follows:

"c) Customs declarations which have not been fully processed due to reasons relating to the applicant or upon his request may be canceled in accordance with conditions and controls set by the general director, provided that the information relating to the canceled customs declaration is maintained electronically".



- Amending Article 52 to read as follows:

"Goods shall be inspected after the registration of customs declaration according to the criteria set by the risk management department as well as any other criteria required by the directorate, in accordance with the controls and conditions set by the general director or his designee".

- Amending Article 55 to read as follows:

"The customs zone may open and inspect packages in the absence of their owner, or his representative, if he fails to attend the inspection despite being notified. The customs zone may, if necessary and prior to notifying the owner of the goods or his representative, carry out the inspection through a committee formed for this purpose pursuant to a decision by the general director; said committee shall draft a report on its findings".

- Amending paragraph (c) of Article 56 to read as follows:

"The general director, or his designee, may order the destruction of goods which, through inspection or examination, are proven to be harmful or not in compliance with approved specifications. Such destruction shall be carried out at the expense of the owner of the goods and in his presence or the presence of his representative. The goods shall, if necessary, be re-exported to their country of origin and a report thereon shall be drafted, in accordance with the conditions and controls set by the general director".

- Amending Article 67 to read as follows:

"Entry of goods or the transfer thereof to another location within the state may be carried out without payment of customs duties, provided that a written undertaking or a cash or bank guarantee the amount of which is equivalent to the amount of the customs duties payable is provided, in accordance with the instructions issued by the general director".

- Amending Article 74 to read as follows:

"Warehouses shall be established within or outside the customs zones pursuant to a decision by the minister, or his designee, or by the competent agency".

- Amending paragraph (c) of Article 105 to read as follows:

"Goods temporarily exported for repair or manufacturing purposes shall be subject to customs duties on the increase resulting from such repair or manufacturing, pursuant to a decision by the general director or his designee."



- Amending Article 114 to read as follows:

"Subject to Article 141 of this Law and without prejudice to any civil or criminal liability provided for in this Law or in any other law, the general director, or his designee, may impose the following penalties on customs brokers and their representatives after conducting an investigation, provided the penalty imposed is proportionate to the violation:

1. A warning notice
2. A fine not exceeding five thousand Saudi riyals or its equivalent in other GCC currencies.
3. Suspension for a period not exceeding two years.
4. Revocation of the license and prohibition from engaging in the profession permanently.

An appeal against the penalty decision may be filed with the minister or the competent agency within 30 days from the date of notification. The minister or the competent agency shall decide on the appeal within 30 days from the date of filing and the decision shall be final. If a decision is not rendered on the appeal upon the lapse of such period, said appeal shall be deemed rejected. Review of the appeal shall not entail stay of execution".

- Adding an article to be numbered 141 bis to read as follows:

"The general director or his designee may, if violators voluntarily disclose violations made in the customs declarations provided for in Article 141 of this Law, decide not to impose customs fines or part thereof, subject to the controls set by the minister or competent agency".

- Adding a new paragraph to be numbered (17) to Article 143 to read as follows:

"Disposition of goods provisionally released in accordance with Article 56(b) of this Law without obtaining approval from the competent agency".

- Amending Article 146 to read as follows:

"The general director, or his designee, may seize goods and means of transport if smugglers flee or cannot be identified, and sell the same in accordance with the provisions of Part 14 of this Law. The sale proceeds shall devolve to the state treasury if the smugglers are not apprehended within a year from the date of sale. If, however, they are apprehended or brought for trial within such period and a judgment confiscating the goods is issued, the confiscation procedures shall apply to the sale proceeds".

- Amending paragraphs (a) and (b) of Article 147 to read as follows:

"a) The general director, or his designee, may issue the decisions necessary for the collection of unpaid customs duties, fees, and fines. A collection decision issued pursuant to this Article shall be deemed an enforcement document.

b) Collection decisions may be appealed before the directorate within 30 days from the date of notification. Appeals shall not stay the execution of decisions unless a bank guarantee or cash security is provided to fully cover the claimed amounts".

- Amending paragraph (6) of Article 152 to read as follows:

"Any means of transport, tools, and materials used in the smuggling may be confiscated. If said means or tools are specifically prepared for smuggling, confiscation shall be mandatory. However, public means of transport such as vessels, aircraft, and vehicles may not be confiscated, unless they are prepared or leased for smuggling. In both cases, an amount not exceeding the value of such means may be collected in lieu of confiscation".



- Amending Article 172 to read as follows:

"The treasury shall be allocated 50% of the total amount of proceeds collected from customs fines and the value of confiscated or relinquished goods and means of transport after deducting customs duties and expenses. The remaining 50% shall be deposited with the customs rewards fund or with another customs account. The minister or the competent agency shall, upon a recommendation by the general director, determine the rules for granting and disbursing such rewards and the beneficiaries thereof".

December 28, 2022 (Jumada II 4, 1444H)

Royal Decree No. M/81 provides for the following:

- Amending Article 61 to read as follows:

"A Valuation Committee composed of customs officers shall be formed pursuant to a decision by the general director, or his designee, in order to settle any disputes arising between the customs zone and relevant parties regarding the value of imported goods; it may, if necessary, seek the assistance of experts. Without prejudice to the importer's right to judicial recourse, he may appeal the increased value decision before the valuation committee within 15 days from the date of registering the customs declaration or from the date of being notified of the customs valuation through proof of delivery. Committee decisions shall be passed by majority vote and shall become effective upon the approval of the general director or his designee. The importer must be notified in writing of the committee's decision regarding his appeal, and said decision shall be reasoned".

January 21, 2024 (Rajab 9, 1445H)

Royal Decree No. M/124 provides for the following:

- Amending Articles 72 and 102 to read as follows:

"Article 72

"If goods are transported from one customs zone to another, relevant parties may be exempted from submitting an itemized customs declaration at the point of entry, and referral shall be made pursuant to the documents and conditions specified by the general director".

"Article 102

The following shall be exempted from customs duties:

- a) Ammunition, weapons, equipment, military means of transport and parts thereof, and any other materials imported by all sectors of the armed forces and internal security forces, pursuant to a resolution by the council of ministers or a decision by the competent authority in each state.
- b) Security-related imports for the customs directorate, pursuant to a resolution by the council of ministers or by the competent authority in each state."